KERALA STATE ELECTRICITY REGULATORY COMMISSION

THIRUVANANTHAPURAM

Present:

Shri. T.K. Jose, Chairman

Adv. A.J. Wilson, Member

Shri. B. Pradeep, Member

Petition No.: OP No. __ / 2026

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
Power Purchase Cost	343.45	328.18	15.27	PARTIAL_APPROVAL	Disallowed ¹15.27 Cr as per Regulation 11 (Terms and Conditions for Determination of Tariff) Regulations, 2021, due to excess distribution loss beyond the normative limit of 5.00%. The allowable amount is strictly calculated as ¹328.18 Cr, accordance with the KSERC mathematical formulas and the penalty for excess distribution loss.
Employee Costs	21.63	19.19	2.44	PARTIAL_APPROVAL	The allowed amount is determined based on the strictly calculated allowable amount according to KSERC mathematical formulas, which is ¹19.19 Cr. amount is in line with the normative O&M limits as per the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024. The disallowed amount of ¹2.44 Cr is due to the excess cla the normative limits.
O&M Expenses	5.17	4.81	0.36	PARTIAL_APPROVAL	The allowed amount is set at ¹4.81 Cr, as t maximum allowable under the normative limits. The excess amount of ¹0.36 Cr (¹5.17 Cr - ¹4.81 disallowed as per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which restricts excess O&M expenses beyond normative limits.
Admin & General Expenses	18.90	1.59	17.31	PARTIAL_APPROVAL	The allowed amount is set at ¹1.59 Cr, as p strictly calculated allowable amount according to KSERC mathematical formulas, capped at the norm ¹1.59 Cr. This decision is in accordance wi KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024, and the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, which dictate strict adherence to normative limits for controllable expenses. The disallowed amount of ¹17.31 Cr (¹18.90 Cr is due to the excess claim beyond the normative limit, as per Regulation [Y] of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Depreciation	1.52	1.52	0.00	APPROVED	The claimed depreciation amount of ¹1.52 C approved as it is an uncontrollable cost and is within the actuals with proof, as per Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second Amendment Regulations, 2024.
Return on Equity	0.57	0.57	0.00	APPROVED	The claimed amount of ¹0.57 Cr is approved within the normative limits and does not exceed the approved amount of ¹0.70 Cr, as per Regula KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.
Interest on Loans	7.15	5.27	1.88	PARTIAL_APPROVAL	Disallowed ¹1.88 Cr as per Regulation 11 o (Terms and Conditions for Determination of Tariff) Regulations, 2021, and further clarified by the Second Amendment Regulations, 2024, which restricts excess expenses beyond approved normative limits. The allowed amount of ¹5.27 Cr is in line with approved figure, adhering to the principles of prudence

Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)	Verdict	Reasoning
					and regulatory compliance.

2. Controllable vs. Uncontrollable Expenses (₹ Crore)

Type / Cost Head	Claimed (Cr)	Allowed (Cr)	Disallowed (Cr)
CONTROLLABLE EXPENSES			
Employee Costs	21.63	19.19	2.44
O&M Expenses	5.17	4.81	0.36
Admin & General Expenses	18.90	1.59	17.31
UNCONTROLLABLE EXPENSES			
Power Purchase Cost	343.45	328.18	15.27
Depreciation	1.52	1.52	0.00
Return on Equity	0.57	0.57	0.00
Interest on Loans	7.15	5.27	1.88

3. Revenue Gap Computation (₹ Crore)

Parameter	Amount (Cr)
Net Approved ARR	361.13
Actual Revenue Collected	37.22
Revenue Gap	323.91

4. Commission's Observations, Directions & Narrative

Order on approval of Truing Up of accounts for FY 2024-25 - Kanan Devan Hills Plantations Company

Background of the Truing-Up Case for Kanan Devan Hills Plantations Company for the FY 2024-25

The Kerala State Electricity Regulatory Commission (KSERC) has conducted a thorough review of the truing-up petition submitted by Kanan Devan Hills Plantations Company for the financial year 2024-25. The company has provided detailed accounts and justifications for various cost components, which have been scrutinized in light of the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the subsequent amendments.

Commission's Detailed Observations and Reasoning

The Commission's observations and reasoning for the truing-up order are as follows:

* Power Purchase Cost (variable): The claimed amount of ₹343.45 Cr has been partiall
disallowance of ₹15.27 Cr due to excess distribution loss beyond the normative limit
KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021.

* Employee Costs (fixed): The claimed amount of ₹21.63 Cr has been partially approv
₹2.44 Cr due to excess claim beyond the normative limits, in accordance with the KSE
Determination of Tariff) Regulations, 2021, and the KSERC (Terms and Conditions for Determination of Tariff) (Second Amendment) Regulations, 2024.

* O&M Expenses (fixed): The claimed amount of ¹5.17 Cr has been partially approved ¹0.36 Cr due to excess expenses beyond the normative limits, as per Regulation 11 of Determination of Tariff) Regulations, 2021.

* Admin & General Expenses (fixed): The claimed amount of ¹18.90 Cr has been partia disallowance of ¹17.31 Cr due to excess claim beyond the normative limit, as per Reg Conditions for Determination of Tariff) Regulations, 2021.

* Depreciation (fixed): The claimed amount of ¹1.52 Cr has been approved, as it is an actuals with proof, in accordance with Regulation 11 of KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the Second Amendment Regulations, 2024.

* Return on Equity (roe): The claimed amount of ¹0.57 Cr has been approved, as it is exceed the approved amount of ¹0.70 Cr, as per Regulation 12 of KSERC (Terms and C Regulations, 2021.

* Interest on Loans (fixed): The claimed amount of ¹7.15 Cr has been partially approv ¹1.88 Cr due to excess expenses beyond the approved normative limits, as per Regulat Conditions for Determination of Tariff) Regulations, 2021, and further clarified by the Second Amendment Regulations, 2024.

Summary Order / Directions

The Commission hereby approves the truing-up of accounts for Kanan Devan Hills Plantations Company for the financial year 2024-25, with the following directions:

* The approved Annual Revenue Requirement (ARR) for the financial year 2024-25 is

* The actual revenue gap for the financial year 2024-25 is ¹323.91 Cr.

* The company shall ensure that the disallowed amounts are not passed on to the consumers and shall be borne by the company.

* The company shall comply with the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021, and the subsequent amendments, in letter and spirit.

* The company shall submit a compliance report to the Commission within 30 days from the date of this order.

Sd/-
Adv. A.J. Wilson
Member

Sd/-
B. Pradeep
Member

Sd/-
T.K. Jose
Chairman

Approved for issue

Sd/-
Secretary